📄 📊 FULL ANALYSIS SUMMARY REPORT

🎯 Objective

The goal of this analysis was to diagnose key business challenges in hotel performance, specifically:

- Inaccurate demand forecasting
- Suboptimal pricing strategies
- High cancellation rates
- Lack of customer segmentation insights
- Poor visibility into demand patterns

🟦 1. Demand Forecasting Issues (Seasonality & Lead Time)

🔍 Findings

- Strong **seasonality pattern observed**:
  - Peak demand: **July–August (RevPAR ~90–104)**
  - Low demand: **January–February (~48–52)**
- **Lead time behavior**:
  - Mid-range bookings (8–28 days) → highest ADR (~105–110)
  - Last-minute bookings (0–3 days) → lower ADR (~88)

⚠️ Problem Identified

👉 Demand is **predictable but not fully leveraged**

- Hotels are not aligning:
  - Staffing with seasonal peaks
  - Pricing with demand cycles

✅ **Conclusion**

Demand forecasting is **reactive rather than proactive**, leading to inefficient staffing and missed revenue opportunities.

🟩 **2. Pricing Strategy Inefficiencies (ADR & RevPAR)**

🔍 **Findings**

- ADR fluctuates between **~60 to 115**
- RevPAR peaks when:
  - ADR is balanced with occupancy
- Scatter analysis shows:
  - Higher ADR → lower occupancy
  - Lower ADR → higher occupancy

👉 Clear **price elasticity effect**

⚠️ **Problem Identified**

👉 Pricing is **not optimized dynamically**

- Overpricing → demand drop
- Underpricing → revenue loss

✅ **Conclusion**

Current pricing strategy leaves **money on the table** due to lack of dynamic optimization based on demand sensitivity.

🟥 3. High Cancellation Rates (Critical Issue)

🔍 Findings

- Overall cancellation rate: **~37% (very high)**
- Total cancellations: **44K bookings**
- Lost revenue: **₹4.64M**

🚨 Key Drivers

📊 By Segment:

- Groups & Online TA → highest cancellations

📊 By Channel:

- TA/TO (OTA) → dominant cancellation source

⏳ By Lead Time:

- Long lead time (60+ days) → ~48% cancellation
- Short lead time (0–3 days) → ~8%

⚠️ Problem Identified

👉 No proactive cancellation control strategy

✅ Conclusion

High cancellations are driven by **early bookings and OTA channels**, causing significant revenue leakage.

🟪 4. Customer Segmentation & Value Gaps

🔍 Findings

- Revenue heavily concentrated in:
  - **Online TA (~54%)**
  - Offline TA & Direct channels
- Corporate & Aviation segments:
  - Lower revenue contribution

⚠️ Problem Identified

👉 Business cannot clearly identify:

- High-value customers
- Profitable segments

✅ Conclusion

Heavy dependency on OTA channels reduces profitability and limits visibility into **true high-value customer segments**.

🟧 5. Seasonal & Geographic Demand Visibility

🔍 Findings

🌍 Geography:

- Top countries:
  - Portugal (PRT) dominates demand
  - Followed by UK, France, Spain

🗓️ Seasonality:

- Demand peaks in summer months
- Consistent yearly pattern observed

⚠️ Problem Identified

👉 Insights exist but are **not operationalized**

- Marketing not optimized by geography
- Promotions not aligned with seasonality

✅ Conclusion

Business has **clear demand patterns**, but lacks strategic use of geographic and seasonal insights.

📊 OVERALL BUSINESS IMPACT

🚨 Key Issues Identified

Problem	Impact
Poor demand forecasting	Over/under staffing
Weak pricing strategy	Revenue loss
High cancellations	₹4.64M lost revenue
Poor segmentation	Inefficient targeting
Limited demand visibility	Missed growth opportunities

🚀 FINAL RECOMMENDATIONS

1⃣ Improve Demand Forecasting

- Use seasonal trends for staffing & inventory planning
- Focus on peak months (Jul–Aug)

2⃣ Implement Dynamic Pricing

- Adjust ADR based on demand elasticity
- Increase prices in high-demand periods

3⃣ Reduce Cancellations

- Introduce:
  - Cancellation penalties
  - Deposit policies for long lead bookings
- Reduce OTA dependency

4⃣ Optimize Channel Strategy

- Promote **direct bookings**
- Reduce OTA commission leakage

5⃣ Target High-Value Markets

- Focus marketing on:
  - Portugal, UK, France
- Personalized offers by segment